

Agenda Item 2: Assurance on Sustainability Reporting

**Josephine Jackson,
Sustainability Assurance Task
Force Chair**

SATF and Drafting Team

IAASB Board Meeting

June 20, 2023



Sustainability Assurance Task Force

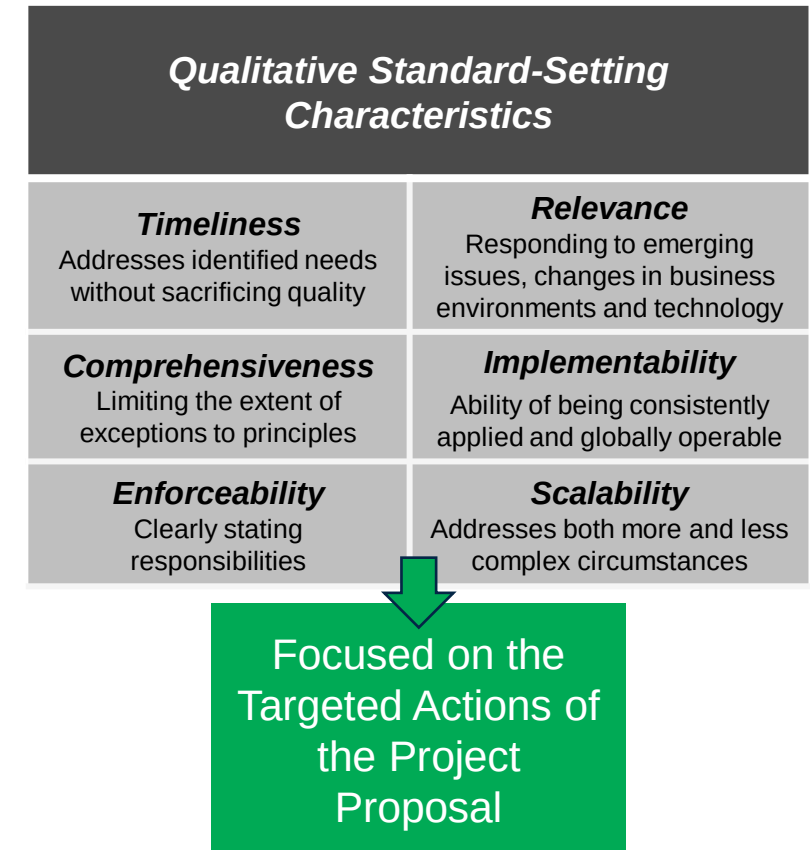


Thank you - Friends and Family

Project Objective that Supports the Public Interest

To Develop an Overarching Standard

- (a) Responsive to the public interest need for a timely standard that supports the consistent performance of quality sustainability assurance engagements
- (b) Suitable across all sustainability topics, information disclosed about those topics, and reporting frameworks
- (c) Implementable by all assurance practitioners



Agenda

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Consultative Advisory Group Feedback

- Supportive of the ED, particularly timeliness, professional agnostic approach, and overall quality of the standard, mentioning that there are no fatal flaws
- Supportive of the extensive outreach program covering all regions, representative markets, SMEs and other practitioners
- Recognition that this is the start of the journey, areas where additional guidance might be needed through first time implementation guidance or future standards:
 - Bridge of definitions with other Standard Setting Boards (EFRAG, ISSB, GRI, IESBA, IIA and others)
 - Whether sufficiently detailed procedures for fraud, including “green-washing”
 - Materiality for forward-looking information
 - Group audits and sampling
 - Illustrative reports - scalability and concern about the high numbers of qualified or adverse reports in the first years in Europe.

Consultative Advisory Group's Feedback on EM Content

- Areas to be addressed in the Explanatory Memorandum:
 - Clarifying that ISSA 5000 is the start of a journey and will be the first in the suite of ISSAs so, cannot address all matters and will be refined and evolve over time.
 - How scalability is addressed throughout the standard?
 - Explain “at least as demanding” for Quality Management and Ethics
 - Will the assurance report be clear to users and respond to user needs?
 - Balance between detail appropriate for an overarching standard vs what is needed for implementation
 - Profession agnostic.

IAASB-National Standard-Setters' Feedback on EM Content

- Areas to be addressed in the Explanatory Memorandum:
 - Group audits
 - Materiality - Accumulation of identified misstatements in sustainability areas which are not connected
 - Completeness of the information to be reported should be the same in both LA and RA and only the nature and extent of evidence should be different
 - Explanation for fair presentation or compliance frameworks
 - Key matters relevant to each stakeholder group and how IAASB addressed them in ISSA 5000 should generate higher response rate from different stakeholders:
 - ✓ Investors are looking at greenwashing or transparency from assurance provider
 - ✓ Those charged with governance are interested in communication
 - ✓ Practitioners from other professions are interested to see that the standard is profession agnostic and provides sufficient specificity (could address through a key concepts document)
 - Question to stakeholders to identify areas that could be addressed in future standards

Reminder: Top Ten - March 2023 Board Meeting

Definitions

Clarify sustainability information; explain “at least as demanding”

Quality Management

Clarify further - using the work of others

Preconditions for engagement

Simplify the construct of requirements

Evidence

Add evaluating accuracy and completeness of information intended to be used as evidence

Materiality

Bifurcated structure for materiality (“consider” vs “determine”)

Internal control

Distinction of work effort between “L” and “R” assurance

Respond to risks

More guidance on: overall responses; work on forward looking information; sampling

Concluding

Further clarity on other information: definition; examples; connection with financial statements

Reporting

Appendix of Illustrative reports reflecting requirements; more on comparative information

Final Check

Double materiality; Groups/consolidated information; fraud; sustainability examples; CUSP review

Walkthrough of Proposed ISSA 5000

The IAASB is asked for its views on proposed ISSA 5000, as presented in **Agenda Items 2–B, 2-C and 2-F**, including with respect to the matters discussed in **Section A** of Agenda item 2.

Feedback to be provided in the walk-through of the standard

Introduction

Effective Date and Objectives

Definitions

**Conduct of an Assurance
Engagement in Accordance with
this ISSA**

Dan Montgomery

Walkthrough of Proposed ISSA 5000 – Introduction

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
1 – 12	A1 – A14	2, 2A, 3, 4, 5 (old), 7, 9(old), 10(old), 9	The IAASB is asked for its views on the Introduction in paragraphs 1-12 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Effective Date and Objectives

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A
13 – 15	A15	13, 14, 15

Matter for IAASB Consideration

The IAASB is asked for its views on the **effective date** and **objectives** in **paragraphs 13-15** and related application material in proposed ISSA 5000.

Effective Date – CUSP Convention – Agenda 2 Section C

- Use “*beginning on or after*” if the standard applies to the *planning* stage of the engagement.
- Use “*ending on or after*” if the standard applies to *completing* the engagement only.

Walkthrough of Proposed ISSA 5000 – Definitions

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A
16	A16R – A32A	16(a), (f), (h), (i), (n)-(o), (ff), (hh), (tt), (uu), (ww),(xx)

Agenda Item 2 Section A.1 Definition of: Sustainability Matters, Sustainability Information, and Disclosures

SATF added a separate definition of the term “sustainability matters” which serves as the foundation for the definition of sustainability information.

*To provide more clarity about the relationship between topics, aspects of topics and disclosures, SATF added **Appendix 1** included in **Agenda item 2-F**.*

SATF also provided further clarification on the sustainability information subject to the assurance engagement

Matter for IAASB Consideration

The IAASB is asked for its views on the **definitions** in **paragraph 16** and related application material in proposed ISSA 5000 and **Appendix 1**, including with respect to the matters discussed in **Section A.1**.

Walkthrough of Proposed ISSA 5000 – Conduct of an Assurance Engagement in Accordance with this ISSA

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
17 – 23	A33 – A43	17	The IAASB is asked for its views on the conduct of an assurance engagement in accordance with this ISSA in paragraphs 17-23 and related application material in proposed ISSA 5000.

**Acceptance and Continuance of the
Assurance Engagement**

Quality Management

**Fraud; Non-Compliance with Laws
and Regulations; Communication;
Documentation**

Bill Edge, SATF

Jamie Shannon, Drafting Team

Walkthrough of Proposed ISSA 5000 – Acceptance and Continuance of the Assurance Engagement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
24 – 27	A44 – A52	General, 24(a)	The IAASB is asked for its views on the Acceptance and Continuance of the Assurance Engagement in paragraphs 24–27 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Quality Management

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
28 – 43	A53 – A95	28, 31(c), 37, 40, 41, 42, 43	The IAASB is asked for its views on Quality Management in paragraphs 28–43 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Quality Management

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
44 – 57	A96 – A130	48(e), 49, 50, 51, 52, 53, 54(e), 55, 56, 57	The IAASB is asked for its views on Quality Management in paragraphs 44–57 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Fraud; Non-Compliance with Laws and Regulations; Communication; Documentation

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for IAASB Consideration
58 – 67	A131 – A153	64, 67(e)	The IAASB is asked for its views on Fraud; Non-Compliance with Laws and Regulations; Communication and Documentation in paragraphs 58–67 and related application material in proposed ISSA 5000.

Preconditions for an Assurance Engagement

Terms of the Assurance Engagement

Wolf Boehm, SATF

Claire Grayston, Staff

Walkthrough of Proposed ISSA 5000 – Preconditions for an Assurance Engagement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
68 – 76	A154 – A201	Overall, 68, 69, 70, 71, 72, 73, 75	The IAASB is asked for its views on the Preconditions for an assurance engagement, paragraphs 68-76 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Terms of the Assurance Engagement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
77 – 80	A202 – A206	77	The IAASB is asked for its views on the terms of the assurance engagement, paragraphs 77-80 and related application material in proposed ISSA 5000.

Evidence

Jamie Shannon, Drafting Team

Walkthrough of Proposed ISSA 5000 –Evidence

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
81 – 86	A207 – A254	81(a), 81(b), 82, 83, 8-14(Old)	The IAASB is asked for its views on Evidence, paragraphs 81-86 and related application material in proposed ISSA 5000.

Planning

Isabelle Tracq-sengeissen, SATF
Johanna Field, Drafting Team

Walkthrough of Proposed ISSA 5000 – Planning

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
87 – 89	A255 – A264	88, 89	The IAASB is asked for its views on Planning, paragraphs 87-89 and related application material in proposed ISSA 5000, including with respect to the matters discussed in Section A.2 .

Walkthrough of Proposed ISSA 5000 – Planning

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A
90 – 93	A265 – A280	90, 92, 93, General

Agenda Item 2, Section A.2: Materiality

In March, the Board requested that the SATF consider providing further guidance on matters related to materiality, including:

- *The concept of “double materiality,”*
- *That there may be more than one materiality for the same assurance engagement.*
- *Differentiating the concept of materiality as applied by the entity (e.g. “materiality process”) and the practitioner’s consideration or determination of materiality.*

Matter for Board Consideration

The IAASB is asked for its views on **Planning, paragraphs 90-93** and related application material in proposed ISSA 5000, including with respect to the matters discussed in **Section A.2**.

Risk Procedures

Responding to Risks of Material Misstatement

Warren Maroun, SATF

Susan Jones, Drafting Team

Walkthrough of Proposed ISSA 5000 – Risk Procedures

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
94L – 101	A281 – A307	General, 94L/94R, 96, 97, 98, 6(Old), 99(c),	The IAASB is asked for its views on Risk procedures, paragraphs 94L-101 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Risk Procedures

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
102L – 106R	A308 – A332	102L/102R, 105R,	The IAASB is asked for its views on Risk procedures, paragraphs 102L-106R and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Risk Procedures

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
107L – 113	A333 – A354R	107L/107R, 109L, 110R, 111L, 18R(Old), 113	The IAASB is asked for its views on Risk procedures, paragraphs 107L-113 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Responding to Risks of Material Misstatement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
114L – 116R	A356 – A366	115L/115R, 116L/116/R	The IAASB is asked for its views on Responding to Risks of Material Misstatement, paragraphs 114L-116R and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Responding to Risks of Material Misstatement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
117 – 123	A367 – A369	117, 121	The IAASB is asked for its views on Responding to Risks of Material Misstatement, paragraphs 117-123 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Responding to Risks of Material Misstatement

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
124R – 135	A370 – A390	124R, 131, 133L/133R, 135	The IAASB is asked for its views on Responding to Risks of Material Misstatement, paragraphs 124R-135 and related application material in proposed ISSA 5000.

Concluding

*Accumulation and Consideration of
Identified Misstatements; Evaluating
the Description of Applicable Criteria*

Isabelle Tracq-sengeissen, SATF
Johanna Field, Drafting Team
Claire Grayston, Staff

Walkthrough of Proposed ISSA 5000 – Accumulation and Consideration of Identified Misstatements; Evaluating the Description of Applicable Criteria

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
136 – 144	A391 – A421	136, 137, 142, 143	The IAASB is asked for its views on the Accumulation and consideration of identified misstatements; Evaluating the description of applicable criteria, paragraphs 136-144 and related application material in proposed ISSA 5000.

Concluding

Subsequent Events

Written Representations

Isabelle Tracq-sengeissen, SATF

Adriana Chircusi, Staff

Walkthrough of Proposed ISSA 5000 – Subsequent Events; Written Representations

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
145 – 152	A422 – A427	N/A	The IAASB is asked for its views on the Subsequent events and Written representations, in paragraphs 145-152 and related application material in proposed ISSA 5000.

Concluding

Other Information

Forming the Assurance Conclusion

Reporting

Isabelle Tracq-sengeissen, SATF

Claire Grayston, Staff

Walkthrough of Proposed ISSA 5000 – Other Information

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
153 – 158	A428 – A438	General, 153, 154, 156, 157	The IAASB is asked for its views on Other Information, paragraphs 153-158 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Forming the Assurance Conclusion

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
159 – 166	A439 – A457	160, 162-163	The IAASB is asked for its views on Forming the Assurance Conclusion, paragraphs 159-166 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Reporting

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
167 – 169	A458 – A489	169(c), 169(c)(v), 169(d), 169(d)(iii), 169(d)(vii), 169(f), 169(f)(i)(a), 169(f)A, 169(g)	The IAASB is asked for its views on Reporting, paragraphs 167-169 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Reporting

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
170 – 183	A490 – A511	179(a)	The IAASB is asked for its views on Reporting, paragraphs 170-183 and related application material in proposed ISSA 5000.

Walkthrough of Proposed ISSA 5000 – Reporting

Requirements Paragraphs in Agenda Item 2-D	Application Material Paragraphs in Agenda Item 2-E	Significant Changes (Paras) Agenda Item 2-A	Matter for Board Consideration
184 – 187	A512 – A518	184-185A	The IAASB is asked for its views on Reporting, paragraphs 184-187 and related application material in proposed ISSA 5000.

Illustrative Reports

Isabelle Tracq-sengeissen, SATF
Adriana Chircusi, Staff

Walkthrough of Proposed ISSA 5000 – Illustrative Reports

Agenda Item 2-F	Significant Changes (Paras) Agenda Item 2-A
Appendix 2	N/A
Agenda Item 2, Section A.3: Illustrative Assurance Reports	
<i>SATF responded to the Board's comments by:</i> • <i>Paring back certain aspects of the illustrative reports to reflect the basic content elements, to provide a more generic template</i> • <i>Using consistent wording across the examples.</i> • <i>Adding a fourth illustrative report for a modified limited assurance conclusion.</i> • <i>Updating the combined illustrative report using an example of specific disclosures rather than an entire sustainability report.</i>	

Matter for Board Consideration
The IAASB is asked for its views on the Illustrative Reports, in Appendix 2.

Other Matters

The IAASB is asked whether there are any other matters that the Task Force should consider in progressing the draft of proposed ISSA 5000.

Proposed Conforming and Consequential Amendments

Dan Montgomery, Staff
Thokozani Nkosi, Staff

Proposed Conforming and Consequential Amendments

International Framework for
Assurance Engagements

Allowing for a suite of International Standards on Sustainability Assurance (ISSAs) in the structure of the IAASB standards

PREFACE

Replacing the terms “professional accountant” with “auditor or practitioner” in the Preface

ISQM 1
ISQM 2

Acknowledging in the application material to the scope section of ISQM 1 that the term “engagement leader” is used in the ISSAs

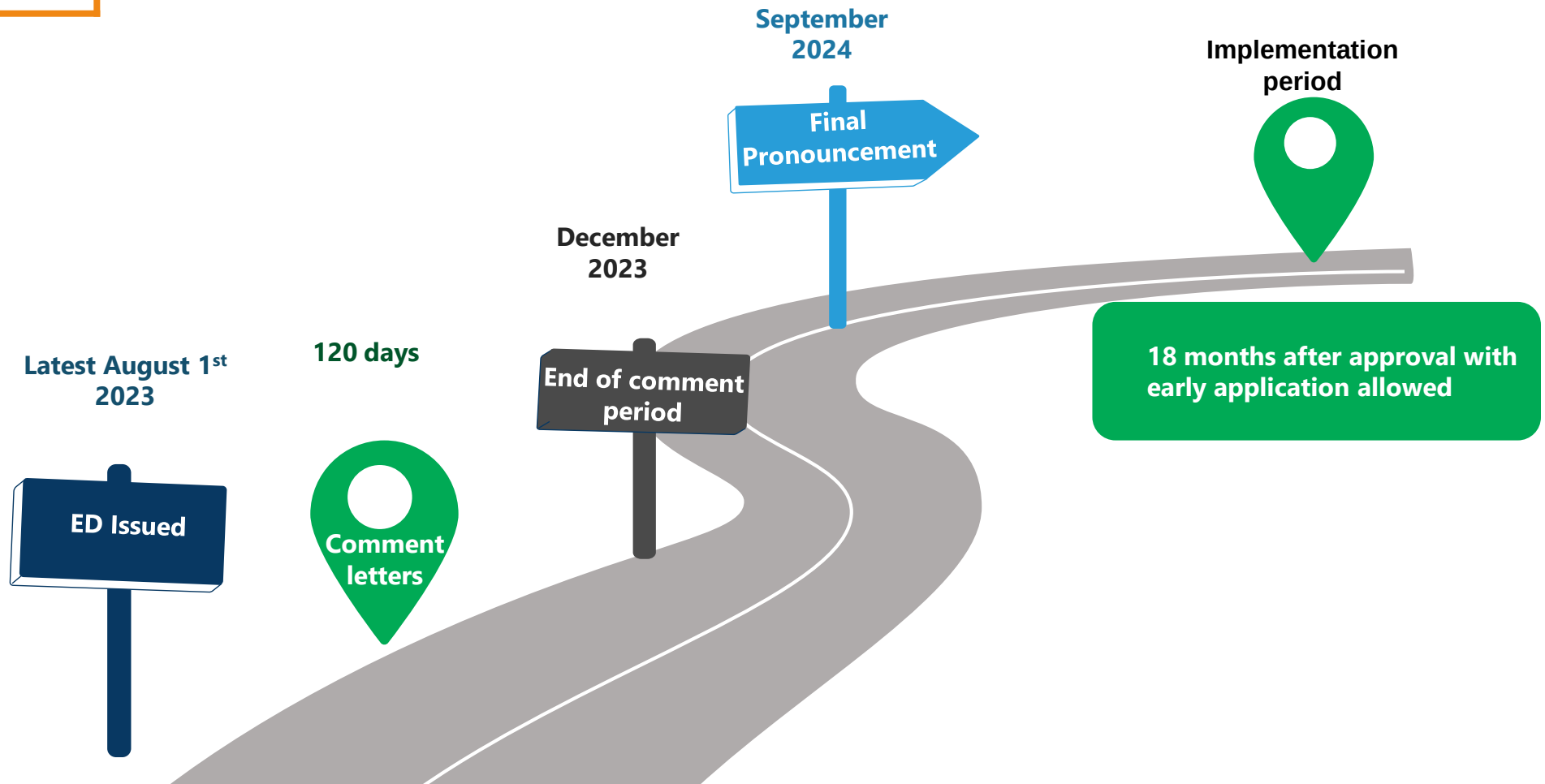
ISAE 3000 (Revised)
ISAE 3410
ISA 805

Establishing when the ISSAs are to be applied instead of ISAE 3000 (Revised), ISAE 3410 or ISA 805

Proposed Conforming and Consequential Amendments

The IAASB is asked for its views on the proposed conforming and consequential amendments, as presented in **Agenda Item 2–G**, including with respect to the matters discussed in **Section B** of **Agenda Item 2**.

Other Matters - Exposure Period, Timing of Completion and Proposed Implementation Period



Exposure Period, Implementation Period and Effective Date

The IAASB is asked for its views on the exposure period and timing of completion, the proposed implementation period as described in **Section C** of **Agenda Item 2**.

Explanatory Memorandum – Matters to include

- Background and objectives of the project
- Premised on Ethics and Quality Management
- Key terminology used
- How priority areas were addressed
 - ✓ Differentiation of reasonable and limited assurance work effort, both risk and response
 - ✓ Materiality
 - ✓ Suitable criteria
 - ✓ Appropriate scope of the engagement
 - ✓ Relevant and reliable evidence
 - ✓ System of internal controls
- How other key areas were addressed:
 - ✓ Using the work of others – experts and other practitioners
 - ✓ The entity’s process to prepare the sustainability information
 - ✓ Sufficient appropriate evidence for estimates and forward-looking information
 - ✓ The practitioner’s responsibilities for other information
 - ✓ Assurance engagements for groups or “consolidated” sustainability information
- Matters to be addressed in the future suite of ISSAs.

Explanatory Memorandum – Matters to include

The IAASB is asked whether there are any matters, other than those noted in **paragraph 56 of Agenda Item 2**, that should be addressed in the Explanatory Memorandum.



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